

U.P. Aerospace & Defence Unit and Employment Promotion Policy-2024



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Uttar Pradesh has been building a defence story of its own, and the U.P. Aerospace & Defence Unit and Employment Promotion Policy-2024 is one reason that story has started to look real. The policy sits under the Infrastructure & Industrial Development department, and it covers more than capital support and land support. It also makes room for R&D, MRO, UAVs, defence electronics, testing facilities, centres of excellence, skill development, MSMEs, and startups.

The Defence Corridor is often spoken of as one big

project, but it is really a network of industrial nodes built for defence production. In Uttar Pradesh, those nodes include Lucknow, Kanpur, Agra, Aligarh, Jhansi, and Chitrakoot. Defence production becomes much smoother when the basic ecosystem is already in place, with testing, suppliers, design work, and technical support close to the manufacturing units.

That is where the 2024 policy fits in. It offers capital subsidies of up to 7% in Lucknow, Kanpur, Agra, and Aligarh nodes, and up to 10% in Jhansi and Chitrakoot nodes, along with land-related support for eligible projects. The policy also earmarks more than 5,000 acres across the corridor for defence manufacturing units. It also leaves space for defence electronics, UAV systems, repair and maintenance services, and testing infrastructure.

Lucknow is no longer just a political capital with administrative weight. It is becoming a serious manufacturing centre, especially in high-precision defence work. The clearest example is the BrahMos Aerospace facility in Sarojini Nagar, which was inaugurated in May 2025 and later produced its first batch of missiles in October 2025. BrahMos is not ordinary factory output. It is advanced engineering, testing, assembly, and quality control in one place.

The Lucknow plant also gives the state a visible anchor. It shows that the Defence Corridor is not just about announcements and land banks. It is already producing systems that matter to the armed forces. In that sense, Lucknow has moved from being a planned node to a working one.

Bharat Dynamics Limited is another important piece of the puzzle. The company is expanding capacity in Uttar Pradesh, with a new unit planned in Jhansi inside the Defence Corridor. That is a useful signal because BDL is a core defence manufacturer, and its move tends to bring confidence to suppliers and smaller firms around it.

That is where the policy starts to matter beyond the headline projects. Defence manufacturing needs machine shops, testing vendors, component makers, logistics firms, software support, research teams, product development support, and trained workers. Private defence companies are also beginning to see the corridor as a place where they can plug into larger supply chains rather than work in isolation. MSMEs and startups matter here too, because they fill the smaller gaps that large defence units depend on every day.

The policy, then, is not only about subsidies and land. It is about creating a defence manufacturing base that can handle production, maintenance, testing, design, and support work in one place. That is what gives the corridor its weight, and that is what makes the policy feel like a working industrial plan.

